

you have to sell, so trying to shoot for 19 on the upper right of the chart isn't optimum. The trade goes negative for a while before it shows a profit.

## Ultimate High

How about selling at E, when price peaks? That would give you the most profit before the stock dropped into loss territory. That peak is what I call the ultimate high. If you traded this stock perfectly, you'd buy at 17.06, using the opening price the day after an upward breakout, and you'd sell at the high price at E.

I'm not testing how well a stop-loss order works because I'm not using a stop or MACD or a moving average crossover system to find the exit. I'm selling at the highest possible price before things go wrong. I'm selling at the ultimate high. A perfect double bottom trade.

How do I automate this? In my software, I use two rules to find the ultimate high (on a historical price chart, not real time).

1. Find the highest high before price drops 20%, measured from the high to the close.
2. If price closes below the bottom of the chart pattern, then the search for the ultimate high stops, and we use the highest high found after entering the trade.

In this example, the stock drops to F and closes at 15.70. The low at B is 15.71, so price has closed below the bottom of the pattern at F. We use rule 2 to find the ultimate high: The highest high between the entry price (17.06) and F (the bottom of the pattern) is E. E is the ultimate high.

Let's pretend the double bottom is much lower so I can tell you how rule 1 works. Let's also assume that the close at J is at 13.

Rule 1 says to look for the highest high before price drops 20%, measured from the high to the close. The high between the buy price and J is E, at 17.80. So we look for price to close 20% below this, or 14.24. When price *closes* at or below 14.24 (again, assuming this happens at J, at 13), we've found the ultimate high, which is E, at 17.80. So we bought at 17.06 and sold at 17.80 and made a profit of 74 cents a share.